

differentiation. The current chapter ends with impact of cost of Logistics, Environmental Standards on International Trade and Krugman's alternative theory of trade.

4.9 KEY WORDS

Increasing returns of scale

An increasing returns to scale arises when the output increases by a larger proportion than the increase in inputs during the production process

Economies of Scale

According to Economies of scale concept, the per-unit cost of producing a product falls as the scale of production rises holding input prices as constant.

Intra-Industry Trade

Intra-industry trade is defined as the trade of similar products belonging to the same industry or product category. The term is commonly applied to international trade theories, where the same types of goods or services are both imported and exported.

Logistics Costs

Logistics cost refers to freight charges, warehousing costs, costs of loading and unloading, insurance premiums, and interest charges while goods are in transit.

Environmental Standards

An environmental standard refers to levels of air pollution, water pollution, thermal pollution and pollution resulting from garbage disposal that a nation allows in International Trade.

4.10 SOME USEFUL REFERENCES

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4.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Read Section 4.2
- 2) Read Section 4.2
- 3) Read Section 4.3

Check your progress 2

- 1) Read Section 4.4
- 2) Read Section 4.5

Check your progress 3

- 1) Read Section 4.6
- 2) Read Section 4.7
- 3) Read Section 4.7



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